SCHEDULE 5: PROBLEMS LOAN AND DEBTORS' MANAGEMENT, ETC.

PROBLEM LOAN

-Definition

-Traits

-Repayment mechanism

-Monitoring

-Solution

Definition:

A problem loan may simply be defined as a loan or credit facility that cannot repay its principal or interest or both as when due.(**Access discussion on "Types"etc. in the *Interactive Session***)

Traits: (See "Bad Debt" causation, etc. above)

Repayment mechanism:

Generally all loans are repaid based on the nature of the agreement between the lending bank and the borrower. That is either:-

-The INTEREST only is paid at regular intervals before the final PRINCIPAL repayment at the end of the period; or

- The PRINCIPAL and portion of the INTEREST are paid together at agreed intervals;

- BULLET LOAN where nothing is paid at any intervals but (based on agreement) a . "once and for all" payment is made at the end of the period.

In the above repayment mechanism or schedule, the commonest is the second, i.e.

where by agreement, the borrowing customer repays both the principal and interest portions. This is demonstrated below.

Illustration 2:

Faculty of business now owes a debt of ₦ 5000,000 to be repaid in five annual installments at 8% interest rate:

(a) How much should be repaid annually?
(b) Show also the amortization table for (a) above.

Solution:

Applying the "scientific" formula

$$PVA = K\left[\frac{1-(1+r)^{-n}}{r}\right]$$

$$K = \frac{PVA}{\left[\frac{(1+r)^{n}-1}{r}\right]}$$

Where PVA = ₦ 500,000
r = 8%
n = 5 years
K = ?

$$K = \frac{₦\ 500,000}{\left[\frac{1-(1.08)^{-5}}{.08}\right]}$$

$$= \frac{₦\ 500,000}{(3.9927)}$$

₦ 125,228.23

AMORTIZATION SCHEDULE

Year	A Op. Bal. Of principal Owing	B Int. rate 8% on op. Bal.	C= B + D "K' = Annuity i.e. Princ. + Int.	D = C –B princ. Element Of 'K'	E = A-D C/. Bal. Of Princ. Not yet pd.
1	**500,000**	40,000	12,228.23	85,228.23	414,771.77
2	414,771.77	33,181.742	125,228.23	92046.49	322725.28
3	322725.28	25818.023	125,228.23	99410.21	223315.07
4	223315.07	17865.21	125,288.23	107363.02	115,952.05
5	115,952.05	9276.164	125,288.23	115958.07	(Approx.)Nil

-Monitoring & -Solution (check E-Tutotials)

SOURCES AVAILABLE TO BANK DEBTORS TO SETTLE INDEBTEDNESS

When they say they cannot pay, but you think they are able, it is up to you to show them how. Ask, "Are you a reputable company?", or "You're an honest person aren't you? It I can show you how to pay the debt in full, will you repay the debt?" You can then suggest sources of money available to them:

1.Banks: Many individuals and companies can obtain a bank loan. Existing loans can often be Refinanced or credit limit increased.

2. Credit Card: Credit card holders can obtain cash advances.

3. Current & Savings accounts: Banks otter overdraft facility tor current account holders. This allows the debtor to write themselves a loan from their bank through

their current account. It they don't have overdraft existing, they may be able to obtain it.

4. Stocks & Bonds: Often overlooked, stocks and bonds are a cash source. Shares of quoted companies can be sold and the proceeds .used to reduce or repay outstanding debt.

5. Tax Refunds: This cash source is particularly good in the early months of the year. For example Withholding Tax Refunds come later in the year.

6. Credit Unions: Many debtors are members of credit unions, a source of loans generally at rates lower than what banks offer.

7. Finance Company: Since these institutions charge higher rates of interest, they take greater risks.

8. House Refinancing: Home owners have the option of re-financing their home loans for a source of capital for debt repayment.

9. Insurance Policies: Many insurance policies have cash value that can be borrowed on at a low rate c interest.

10. Relatives & Friends: This may or may not be a good source, but nevertheless is an option on a short term basis. Depending on the strength of the relationship it may or may not include interest.

11. Sale of Personal Property: Companies and individuals usually accumulate property they can sell.

12. Real Property Equity Loan: The interest on this type of loan is tax deductible. The usage is more in the USA and UK

13. Post-dated Check: Assure the debtor they will be notified before the check is cashed. This will put pressure on the debtor to avoid the negative consequence of returned cheque

14. Deferred Loan payment: Payment deferral for one month is a "cash source" often overlooked. The 35th payment, for example, on a 48-month loan, could be deferred for one month, and used to pay the amount requested by the collector. Such an arrangement would be incumbent on the debtor to approach their finance company and ask for them to "tack on" a 49th payment. In such case the finance company would add additional interest to the final payment.

15. Inheritance: Banks may be willing to loan money, using a legitimate inheritance as collateral, if it can be verified.

16. Spousal employment: The debtor may ask their spouse to obtain a loan through their credit union. She could also assist in periodic repayments through her monthly remuneration.

17. Investment or Rental Income: When available this income stream can be used as an alternative source of capital.

HOW TO PREVENT BAD DEBTS

1. Don't assume that your customer knows your credit policy. Although there are established trade practices in every industry it is sometimes the difference that makes a customer choose one supplier over another. That is why it is important that your customer understands your credit policy, eliminating misunderstandings. Emphasizing the policy may be necessary if delinquency becomes an issue. Never be reluctant to ask for payment when it is due.

2. Know your customers-individually. At the beginning of each business relationship, it is prudent to build a credit file on your customer. Credit should never be extended without ascertaining liability. In the event that the customer begins taking extra time to pay their balance, it is advisable to keep them under close scrutiny. If the customer is a valued one of long standing, they demand extra consideration.

3. Keep your credit records current. The affairs of companies are constantly changing: Such changes in markets and management directions can abruptly alter the course of a company's health and conduct. It is wise to keep abreast of trade reports pertaining to specific companies so that a calamitous credit situation doesn't catch you by surprise.

4. In uncertain periods tighten your collection procedures. Business conditions are uncertain, it is time to review your collection procedures and tighten them up. You can't guard against unforeseen events but you are minimizing your company's risk by rigidly adhering to your policies. Start by revising your collection letters making them more action-compelling.

5. Try to discourage extended payment terms. Review requests for extended payment terms carefully and ask your sales department to discourage such requests. Too many can endanger your company's cash flow position and lead to undesirable account relationships.

6. Pursue partial payments with requests for the balance. Debtors assume that by making partial payments it will get the "heat off them". While such payments show good faith, and part is better than none, it should not slow your effort to collect the total amount due. The best practice is to acknowledge partial payments and promptly follow-up for payment of the remainder.

7. Shorten your collection schedule. Cut the time lag after an account's due date by shortening the period from that date for continued extension of credit privileges. This "shock treatment" transmitted to a principal can sometimes exert needed leverage on accounts, particularly those who rely heavily on the supplies or services your company provides.

8. Keep your lines of communication open. Make sure you are getting through to the right person, the decision maker. Phone them and offer to visit them to discuss the delinquent debt and establish a payment schedule.

9. Try to resolve disputed matters quickly: If the reason for non-payment is a dispute over quality of merchandise, service, price or delivery, a mutually agreeable settlement should be arrived at promptly. The customer may use a minor dispute to withhold a substantial payment. Insist that the undisputed portion be paid immediately, indicating that the balance will be negotiated.

10**. What to do when all else fail:** Your judgment will tell you when you have exhausted all the means at your disposal to negotiate payment from your customer. At this point you can take positive action by referring the account to a Collection Agency or a solicitor.

QUALITIES AND PERSONAL SKILLS OF A GOOD COLLECTOR

1. Must have some ANALYTICAL ABILITY to comprehend from information available the true causes for a customer's delinquency.
2. Must develop good TELEPHONE CONVERSATION SKILL since this is one of their most effective tools. Training on this and other credit mgmt and marketing skill should be attended.
3. Must be GOOD IN BUSINESS LETTER WRITING**,** using appropriate sentences and paragraphs.
4. Must have PLEASING BUT BUSINESS-LIKE PERSONALITY that can win over the cooperation of the debtor and also get useful information that would assist the collection process.
5. Must have HIGH EMOTIONAL INTELLIGENCE .This include self-awareness, self-confidence, self control, the ability to communicate and influence, to initiate and accept change.
6. Must develop a GOOD HUMAN RELATIONSHIP with the internal customers (colleagues & other depts.) and customers/debtors to have maximum cooperation in terms of repayments.
7. Must be a person of INTEGRITY AND HIGH MORAL STANDARDS**,** who is able to resist threats or entreaties of a customer.

8. Must be a SITUATIONAL MANAGER playing different roles depending on the type of debtor i.e. debt mediator, counselor, consultant, psychologist, motivator, solution-provider etc.
9. Must have ADEQUATE KNOWLEDGE of the debtors' accounts and your company products, credit policy, procedure, terms/ conditions. Also the legislation that impacts credit mgmt.
10. Must have the NECESSARY DELEGATED AUTHORITY to take decisive action without constant referral. Note that responsibility without authority will lead to frustration.

HOW TO SPOT EARLY WARNING SIGNS OF BAD DEBTS

1. DECLINING INDUSTRY: Excess capacity? Effect of regulation/deregulation, technological changes or product obsolescence; adverse effect of changes in government policies, excessive competition, changes in-consumers' preference; poor market positioning; changes in labour relations and removal of barriers to entry /new entrant; sensitivity to economic cycle-volatility.

2. UNPROFITABLE BUSINESS: Lack of coherent business plan; no market niche; changes in business strategy and company structure; excessive growth or overtrading; product obsolescence/technology change; deteriorating trade terms; stripping or sales of major company's assets; loss of key supplier or customer;

3. UNSTABLE/ INCOMPETENCE MANAGEMENT: Changes in ownership/key management; evasive answers/inaccessibility; refusal to provide information; lack of experience and depth - one man show; no

viable management succession plan; excessive spending for 'Life Style' of management/founder; death or serious illness of key person; avoiding to pick or respond to telephone calls.

4. UNSATISFACTORY FINANCIAL POSITION: Deterioration in liquidity and profitability ratios/margins; frequent changes in auditor or accounting policy; late submission of financial statements; high leverage and high borrowing rates; hardcore overdrafts/seasonal borrowings; excessive request for extension of matured facility and request to overshoot credit limit; refusal of credit extension by other lenders: adverse stock market report; loss of asset value; inventory/receivables aging or build-up; violations of credit covenants; larger than expected overdrafts.

5. UNPERFECTED OR DIMINISING COLLAJERAL AND SUBTANTIAL LAWSUITS**:** Unexpected fall in security value: asset unrealizable due to inadequate documentation/ perfection one or more substantial lawsuits filed against the, borrower by other creditors

Key Factors that are responsible for Bad Debts.

l. Good credit judgment not exercised at the inception.

2. Neglecting basic credit criteria and requirements

3. Flow in the structuring of the credits / Loans

4. Inadequate monitoring / regular updating and follow-through on credit accounts.

5. Undue-emphasis on profit maximization at the expense of sound credit management.

6. Defective and inadequate credit documentation.

7. Unfavorable economic, social and political factors.

8. Deterioration in borrower's management or competitive environment.

9. Inadequate or unperfected security position.

*****Case study and presentation**